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ENTERPRISE BANK LOAN ELIGIBILITY POLICY

VERSION 2.0

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PURPOSE

This policy defines the official rules and decision criteria used by the Enterprise Bank AI Loan Eligibility Assessment System for evaluating loan applications.

The policy ensures:

- consistent decision-making,
- financial risk control,
- explainable AI recommendations,
- regulatory compliance,
- deterministic approval workflows.

All decisions generated by the AI system **MUST** strictly follow this policy document.

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SECTION 1 — CREDIT SCORE POLICY

1. Credit score ≥ 750

- Applicant is considered financially strong.
- Eligible for fast-track approval consideration.
- Indicates strong repayment reliability.

2. Credit score between 650 and 749

- Applicant is considered moderate risk.
- Requires detailed financial evaluation.
- Additional repayment analysis may be required.

3. Credit score between 550 and 649

- Applicant is considered high risk.
- Mandatory human review is required.
- Approval is not guaranteed.

4. Credit score below 550

- Applicant is considered severely high risk.
- Application **MUST** be rejected immediately.
- Human review conditions do **NOT** apply.

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SECTION 2 — DEBT-TO-INCOME (DTI) POLICY

Debt-To-Income Ratio Formula:

$DTI = ((\text{Monthly Expenses} + \text{Existing EMI}))$

/ Monthly Income) * 100

1. DTI ratio below 40 percent
 - Financial burden is considered healthy.
 - Applicant demonstrates good repayment capacity.
2. DTI ratio between 40 and 60 percent
 - Applicant is considered moderate financial risk.
 - Requires additional affordability evaluation.
3. DTI ratio between 60 and 75 percent
 - Applicant is financially overburdened.
 - Mandatory human review is required.
4. DTI ratio above 75 percent
 - Applicant is considered financially unstable.
 - Application MUST be rejected immediately.
 - Human review conditions do NOT apply.

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SECTION 3 — FRAUD RISK POLICY

1. Any confirmed fraud indicator
MUST result in immediate rejection.
2. Fraud investigation pending
MUST trigger mandatory human review.
3. Fraud-related rejection conditions
override all approval conditions.
4. Applications with confirmed fraud
cannot qualify for automated approval.

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SECTION 4 — REPAYMENT HISTORY POLICY

1. Excellent repayment history
 - Strong positive approval factor.
 - Indicates stable financial discipline.
2. Average repayment history
 - Requires moderate financial review.
 - Approval depends on other financial indicators.
3. Poor repayment history
 - Considered major risk factor.
 - Mandatory human review required.
4. Repeated missed EMI payments
 - Considered severe repayment instability.
 - Application MUST be rejected immediately.

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SECTION 5 — PREVIOUS LOAN DEFAULT POLICY

1. No previous defaults
 - Positive approval indicator.
2. One previous default
 - Moderate risk indicator.
 - Requires additional financial evaluation.
3. Two previous defaults
 - High risk indicator.
 - Mandatory human review required.
4. Three or more previous defaults
 - Considered repeated default behavior.
 - Application **MUST** be rejected immediately.

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SECTION 6 — SAVINGS AND ACCOUNT BALANCE POLICY

1. Strong savings balance
improves financial stability assessment.
2. Stable account balance history
positively impacts repayment confidence.
3. Extremely low savings combined with
high EMI burden increases default risk.
4. Savings balance alone **CANNOT** override
rejection conditions.

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SECTION 7 — LOAN AMOUNT POLICY

1. Loan amount must be reasonable relative
to applicant income and repayment capacity.
2. High-value loan requests require enhanced
affordability assessment.
3. Loan requests significantly exceeding
repayment capability **MUST** trigger
human review or rejection depending
on financial risk severity.
4. Loan amount approval depends on:
 - repayment capacity,

- DTI ratio,
- existing liabilities,
- credit behavior.

SECTION 8 — AUTOMATED APPROVAL CONDITIONS

Applications qualify for AUTOMATED APPROVAL
ONLY if ALL conditions below are satisfied:

- Credit score ≥ 750
- DTI ratio below 40 percent
- No fraud indicators
- No previous defaults
- Stable repayment history
- Acceptable repayment capability
- No policy violations

If ANY condition above is not satisfied,
automated approval MUST NOT occur.

SECTION 9 — HUMAN REVIEW CONDITIONS

Applications require HUMAN REVIEW
ONLY if ALL rejection conditions are FALSE
AND one or more of the following conditions exist:

- Credit score between 550 and 649
- DTI ratio between 60 and 75 percent
- Pending fraud investigation
- Two previous defaults
- Poor repayment history
- Borderline financial stability
- Moderate affordability concerns

Human review conditions MUST NOT override
rejection conditions.

SECTION 10 — REJECTION CONDITIONS

Applications MUST be REJECTED immediately
if ANY of the following conditions are satisfied:

- Confirmed fraud activity exists
- Credit score below 550
- DTI ratio above 75 percent
- Repeated missed EMI payments exist
- Three or more previous defaults exist

- Severe repayment instability exists
- Financial profile indicates inability to repay loan obligations

Rejection conditions have the HIGHEST priority in the decision hierarchy.

If rejection conditions are satisfied:

- human review MUST NOT occur
- automated approval MUST NOT occur

SECTION 11 — DECISION PRIORITY HIERARCHY

The AI system MUST follow the exact decision hierarchy below:

PRIORITY 1 — REJECTION

- Rejection conditions override ALL other rules.

PRIORITY 2 — HUMAN REVIEW

- Applied only if rejection conditions are FALSE.

PRIORITY 3 — AUTOMATED APPROVAL

- Applied only if both rejection and human review conditions are FALSE.

This hierarchy guarantees deterministic and consistent loan decisions.

SECTION 12 — AI SYSTEM BEHAVIOR RULES

1. The AI system MUST provide explainable reasoning for every recommendation.
2. All recommendations MUST reference financial indicators and policy rules.
3. The AI system MUST NOT generate random or unsupported decisions.
4. The AI system MUST follow deterministic policy hierarchy rules.
5. The AI system MUST NOT override rejection conditions using positive financial indicators.
6. Human review cases require manual verification before final approval.

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END OF POLICY DOCUMENT

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